

Principles of Accounting and Taxation

Course: CS — Certified Secretaries

Level: Foundation Level (CS14)

Last updated: 29 July 2026

Syllabus version: Based on the standard KASNEB CS Foundation Level Principles of Accounting and Taxation syllabus topics (CS14) — basic double-entry accounting, final accounts, and an introduction to Kenya's tax system, oriented toward the needs of a company secretary. Authored from general accounting and taxation knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. The accounting equation and double entry

Assets = Liabilities + Capital must always balance. Every transaction is recorded via **double entry**: a debit and an equal, corresponding credit. Debits increase assets/expenses; credits increase liabilities/capital/income.

2. The trial balance and final accounts

A **trial balance** lists all ledger balances to check total debits equal total credits. **Final accounts** — the statement of profit or loss and the statement of financial position — summarise a company's performance and position for a period, typically presented to the board and shareholders as part of the company's annual reporting obligations.

3. Why a company secretary needs to understand accounting

A company secretary regularly handles board papers containing financial statements, coordinates the annual general meeting where accounts are presented to shareholders, and ensures statutory filing deadlines for financial statements are met. While not expected to prepare accounts personally, a company secretary who understands basic accounting can meaningfully support board discussion of financial matters and correctly identify statutory filing obligations tied to the company's financial position.

4. What is a tax, and why do governments levy them?

A **tax** is a compulsory financial charge imposed by government without a direct, specific benefit given in return, funding public services (infrastructure, security, healthcare, education) and serving as a policy tool (e.g. discouraging certain consumption, redistributing income).

5. Classification of taxes

- **Direct tax** — levied directly on income/profit (e.g. corporate income tax), borne by the person/entity taxed.
- **Indirect tax** — levied on goods/services (e.g. VAT), generally passed on to the final consumer through the price paid.
- **Progressive tax** — takes a larger percentage of income as income rises.

- **Regressive tax** — takes a larger percentage of income from lower earners than higher earners (common with flat-rate consumption taxes relative to income).
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6. Kenya's tax administration — KRA

The **Kenya Revenue Authority (KRA)** is the government body responsible for assessing, collecting and accounting for tax revenue in Kenya, administering income tax, VAT, customs duties and other tax obligations, and enforcing compliance through audits, assessments and, where necessary, penalties for non-compliance.

7. Corporate tax obligations, basics

Companies in Kenya are generally subject to **corporate income tax** on taxable profits, along with obligations such as **Pay As You Earn (PAYE)** deductions from employee salaries, and **Value Added Tax (VAT)** registration/accounting where applicable to the company's turnover and activities. Meeting filing deadlines and maintaining proper supporting records are essential to compliance and avoiding penalties.

8. Tax compliance and the company secretary's role

While a company's finance function typically handles the technical tax computations, a company secretary often plays a supporting governance role: ensuring the board is properly informed of material tax obligations and risks, confirming statutory filing deadlines are tracked and met, and ensuring tax-related disclosures required in the company's statutory filings/annual reports are accurate and complete.

9. Full worked question — a simple final accounts adjustment

Scenario. A company's trial balance shows insurance expense of KSh 84,000, covering the 12 months from 1 April to 31 March. The company's financial year ends on 31 December.

Required: Compute the insurance expense for the year and the prepayment carried forward at year-end.

Solution:

Monthly insurance = $84,000 \div 12 = \text{KSh } 7,000$ per month.

Expense relating to the year (1 April to 31 December) = $9 \text{ months} \times 7,000 = \text{KSh } 63,000$.

Prepayment carried forward (1 January to 31 March, next year) = 3 months × 7,000 = **KSh 21,000.**

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CS examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CS FOUNDATION LEVEL — PRINCIPLES OF ACCOUNTING AND TAXATION (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) State the accounting equation and explain double entry. (8 marks)
 - (b) Explain the purpose of a trial balance and ONE of its limitations. (6 marks)
 - (c) Explain why a company secretary benefits from understanding basic accounting. (6 marks)
- (Total: 20 marks)
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QUESTION TWO

- (a) Define "tax" and outline TWO reasons governments levy taxes. (8 marks)
 - (b) Distinguish between a direct tax and an indirect tax, with one example of each. (8 marks)
 - (c) Distinguish between a progressive tax and a regressive tax. (4 marks)
- (Total: 20 marks)
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QUESTION THREE

- (a) Outline the role of the Kenya Revenue Authority. (10 marks)
- (b) Outline THREE tax obligations typically applicable to a company. (10 marks)

(Total: 20 marks)

QUESTION FOUR

A company's trial balance shows rent expense of KSh 96,000, covering 12 months from 1 July to 30 June. The company's financial year ends on 31 December.

- (a) Compute the rent expense relating to the current financial year. *(10 marks)*
- (b) Compute the prepayment (or accrual, as applicable) carried forward at year-end. *(10 marks)*

(Total: 20 marks)

QUESTION FIVE

- (a) Outline the company secretary's supporting role in tax compliance. *(12 marks)*
- (b) Explain the risk to a company of missing a statutory tax filing deadline. *(8 marks)*

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

- (a) *(8 marks)* — $\text{Assets} = \text{Liabilities} + \text{Capital}$; double entry records each transaction with an equal debit and credit.
- (b) *(6 marks)* — Checks total debits equal total credits; limitation: it still balances even if a transaction is posted entirely to the wrong accounts.
- (c) *(6 marks)* — Enables meaningful support of board discussion on financial matters and correct identification of statutory filing obligations tied to the company's financial position.

QUESTION TWO

- (a) *(8 marks)* — A tax is a compulsory financial charge imposed without a direct specific benefit in return; reasons: funding public services, serving as a policy tool (e.g. redistribution).
- (b) *(8 marks)* — Direct tax: levied on income/profit, e.g. corporate income tax, borne by the taxed entity. Indirect tax: levied on goods/services, e.g. VAT, generally passed to the consumer.
- (c) *(4 marks)* — Progressive: larger percentage as income rises. Regressive: larger percentage burden on lower earners relative to income.

QUESTION THREE

(a) (10 marks) — KRA assesses, collects and accounts for tax revenue, administers income tax/VAT/customs duties, and enforces compliance through audits/assessments/penalties.

(b) (10 marks — 3.3 marks each, rounded) — Corporate income tax, PAYE deductions, VAT registration/accounting where applicable.

QUESTION FOUR

(a) (10 marks) — Monthly rent = $96,000 \div 12 = 8,000$. Relating to 1 July–31 December (6 months) = **KSh 48,000**.

(b) (10 marks) — Remaining 6 months (1 January–30 June, next year) already paid = prepayment of **KSh 48,000** carried forward.

QUESTION FIVE

(a) (12 marks) — Ensuring the board is properly informed of material tax obligations/risks; confirming statutory filing deadlines are tracked and met; ensuring tax-related disclosures in statutory filings are accurate and complete (any four points, 3 marks each).

(b) (8 marks) — Missing a filing deadline can expose the company to financial penalties, interest on unpaid amounts, and reputational/regulatory risk, and in serious cases, closer regulatory scrutiny of the company's overall compliance.

12. Exam technique and revision checklist

- Adjustment questions: carefully identify which months relate to the current period versus a prepayment/accrual before computing figures.
- Tax classification "distinguish" questions: use consistent criteria (who bears it, how it's levied) on both sides.
- KRA/tax administration questions: name specific functions (assess, collect, enforce) rather than a vague "manages tax."
- Company secretary's role questions (accounting/tax papers): always connect back to governance/compliance support, not technical tax computation, since that's the specific angle CS papers test.
- Always state the specific consequence (penalty, interest, reputational/regulatory risk) when asked about non-compliance, not just "it's bad for the company."

Quick revision — one line per topic:

1. Accounting equation: Assets = Liabilities + Capital; double entry: equal debit and credit.
2. Trial balance checks debits = credits but has limitations.
3. Tax: compulsory charge, no direct specific benefit; funds public services, serves as policy tool.

4. Direct tax (on income, e.g. corporate tax) vs indirect tax (on goods/services, e.g. VAT).
 5. Progressive tax (rises with income) vs regressive tax (heavier relative burden on lower earners).
 6. KRA: assesses, collects, accounts for, and enforces tax compliance in Kenya.
 7. Corporate tax obligations: corporate income tax, PAYE, VAT (where applicable).
 8. Company secretary's tax role: governance/compliance support, not technical computation.
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End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.